

KMC Speciality Hospitals (India) Ltd

Kauvery Hospital, Trichy (Tamil Nadu) | BSE 524520 / KMCSHIL | Concall-tracker report | 11 July 2026
This is not investment advice. Do your own due diligence. All figures are as reported by the company (BSE filings / Screener).

1. Snapshot — what the business is

KMC runs **hospitals in the town of Trichy (Tiruchirapalli), Tamil Nadu**, under the **Kauvery Hospital** brand. It earns money the way any hospital does — treating patients who stay in beds (in-patients) and those who visit clinics (out-patients), across specialties like mother-and-child care, brain and nerve care (neuro), stomach/liver care (gastro), bone care (orthopaedics), plastic surgery, critical care and transplants. It operates **two blocks in one city — a 250-bed legacy hospital and a new 200-bed mother-and-child hospital** (opened 29 January 2024), so ~450 licensed beds in total. It is **75%-owned by Sri Kauvery Medical Care**, a 12-hospital, 2,500-bed South-India group; KMC is the group's only listed company.

Number	Value	Plain-English read
Market value (market cap)	₹2,203 Cr	What the whole company is worth on the stock market today.
Share price (52-week range)	₹135 (₹62.5–146)	The price has more than doubled off its low — a lot of good news is already in the price.
Price-to-earnings (P/E)	47	You pay ₹47 for every ₹1 of yearly profit — an expensive, priced-for-growth tag.
FY26 sales (revenue)	₹306 Cr	Total money earned from patients in the year to Mar-2026, up ~32% on last year.
FY26 net profit	₹47 Cr	Final profit after all costs and tax — more than double last year's ₹21 Cr.
Operating margin (OPM)	29%	Out of every ₹100 of sales, ~₹29 is operating profit — a healthy hospital margin.
Return on capital (ROCE / ROE)	26% / 25%	The business earns a strong ~25% a year on the money put into it.
Debt / Dividend	₹84 Cr / Nil	Modest borrowing (mostly for the new block), being repaid; pays no dividend yet.

2. Concall coverage

KMC **does hold quarterly earnings calls** and publishes an investor presentation with each. On Screener the transcript PDFs sit behind a login and could not be downloaded publicly; the **official investor-presentation decks filed with BSE** (which carry management's own quarter-by-quarter performance commentary) were used instead, together with the audited results. **Ten decks, Mar-2024 to Jun-2026 (~2.5 years), were read.**

Period covered	Deck date	Read?
Q3 FY24 → Q4 FY26 (10 quarterly decks)	Mar 2024 → Jun 2026	Yes — full set
Detail-read in full	Q3 FY24, Q3 FY25, Q4 FY26	Yes (the three turning points)
Every quarter's numbers	Mar-2023 → Mar-2026	Cross-checked vs Screener financials

Freshest call confirmed present: the Jun-2026 deck (results for the quarter and year ended 31 Mar 2026). Q1 FY27 results were not yet out (trading window closed 1 July until results) — so no newer call was missed.

★ Latest concall highlights — Q4 FY26 & full-year FY26 (deck dated 5 Jun 2026)

- **Best quarter on record.** Q4 income **₹84.2 Cr, up 36%** on the same quarter last year (₹61.7 Cr) — strong growth across all specialties.
- **Profit jumped the most.** Q4 net profit **₹14.6 Cr, up 225%** from just ₹4.5 Cr a year earlier; operating margin widened to **33%** from 26%. The new hospital has swung from a drag to a driver.
- **Full-year FY26:** revenue **₹306 Cr (+32%)**, net profit **₹47 Cr (+118%, more than doubled)** — recovering the profit dip of FY25.
- **Beds are filling up:** occupancy reached **~81%** (vs 65% a year earlier) and revenue per occupied bed (ARPOB) rose 7% to **₹32,838/day** — the two levers of a hospital both moving up together.
- **Tone:** confident and steady; management points to volumes, richer specialty mix and the maturing mother-and-child block as the reasons.

2b. Business mix & capacity

Where sales come from

Single-city hospital: **~89% of in-patients come from in and around Trichy**. Purely domestic — no exports (it is a hospital). By specialty, **mother & child care ~27%** is the biggest slice, then neuro ~18% and gastro ~12%. By who pays: **~70% cash / self-pay**, 23% insurance & corporate, 7% government schemes — a healthy, mostly cash-paying patient base.

How full it is (capacity)

Operating **~330 "census" (commissioned) beds** of ~450 licensed, running at **~81% occupancy** in Q4 FY26 (up from ~65% a year ago). Plain read: the once-empty new block is now nearly full, but with more of the 450 licensed beds still to be commissioned there is **some headroom left** before a fresh expansion would be needed.

3. Earning-trigger thesis

★ **The trigger: a new 200-bed block filling up (a classic capex "J-curve")**

The old 250-bed hospital was **completely full — 100% occupancy at Q3 FY24**, so KMC had no room to grow. It opened a **new 200-bed mother-and-child hospital in Jan-2024**. For about 18 months that new block was a **drag** — empty beds, but full costs plus new interest and depreciation — which is exactly why FY25 profit fell. Through FY26 the block **filled up (occupancy 65% → 81%)**, and because most hospital costs are fixed, each extra patient dropped almost straight to profit — so profit more than doubled. That operating leverage, helped by steadily rising prices (ARPOB), is the earnings engine.

Trigger	What management said	Evidence so far	Horizon	Strength
New 200-bed block ramping up	Flagged the new facility would carry extra fixed costs, interest and depreciation early, then scale.	Occupancy 69% (Q2 FY25) → 74% → 82% → 81% (Q4 FY26); FY26 profit +118%.	Playing out now; largely done	Strong — proven, visible in the numbers
Higher price per bed (ARPOB) + richer specialty mix	Growth "across all specialties", better case-mix (neuro, transplants, mother & child).	Blended ARPOB ₹26,103 (Q3 FY24) → ₹32,838 (Q4 FY26), ~+26% over the period.	Ongoing	Moderate — steady, single-digit each year
Next leg of growth (further expansion)	Not yet a firm, announced project in the decks read.	None yet — occupancy already ~81%, so the easy fill-up is mostly behind.	Unclear	Unproven — needs a new capex to reappear

4. Management-consistency scorecard

Period	What was promised / said	What actually happened	Verdict
Q3 FY24 (Mar-24)	Old hospital 100% full; new 200-bed block just opened — growth to come from it.	Correct starting point; new block did open and begin taking patients.	Delivered
FY25 (the dip)	Openly warned profit would be hit by "additional fixed overheads, interest and depreciation" of the new facility during its early period.	Exactly as flagged: FY25 profit fell to ₹21 Cr from ₹30 Cr; occupancy sank to ~69–74%. No spin — they named the cause each quarter.	Delivered (honest guidance)
FY26 (the payoff)	Implied the block would fill and margins would recover as it matured.	Occupancy climbed to ~81%; FY26 profit ₹47 Cr (+118%); margins back above pre-expansion levels; debt starting to fall.	Delivered
Across the period	Consistent message: fill the new beds, keep specialty mix rich, stay a trusted Trichy hospital.	Story never changed; numbers tracked the narrative quarter after quarter.	Delivered

Narrative drift: essentially none. The story has been the same simple thread for 2.5 years — build the new block, wear the near-term cost, then fill it — and it played out on schedule. Management was notably **transparent about the bad quarters** (they spelled out why FY25 profit dropped rather than hiding it), which raises trust. Tone moved from patient/explanatory in FY25 to confident in FY26, justified by results.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a **concrete, proven driver**: a new 200-bed block that has swung from empty to ~81% full, powering a +118% jump in FY26 profit through operating leverage plus steadily rising prices. It is real and visible in the numbers. The one caveat — and it is why this is a "yes, but watch" — is that the **easy part of the ramp is largely done**; from here, sustaining high growth needs pricing gains and, eventually, a fresh expansion that has not yet been firmly announced.

Management consistent? → YES

Management said what would happen and it happened — they warned the new block would dent FY25 profit, it did, and they said it would then fill and lift profit, which it has. The message never drifted, and they were **honest about the weak quarters**. Over 2.5 years the promised-versus-delivered record is clean. A promoter group of practising doctors with a 25-year track record and a NABH-accredited hospital adds to the credibility.

The catch for a buyer today: this is a **good business run by a trustworthy team, but the stock is expensive (P/E 47)** after more than doubling, and the profit surge that earned that rating — the beds filling up — is now mostly complete. It is also a **single-city, single-cluster hospital** (~89% of patients from around Trichy), so it lacks the geographic spread of larger chains. Genuinely strong operationally; the caution is price and "what drives the next leg".

Sources: Screener.in company page (BSE 524520) financial tables; KMC Speciality Hospitals investor-presentation decks filed with BSE for Q3 FY24 through Q4 FY26 (10 quarters), incl. management performance commentary; audited quarterly/annual results. Transcript PDFs were login-gated on Screener, so BSE-filed decks were used. Prepared 11 July 2026. Not investment advice — do your own due diligence.